The government may think it should pay a subsidy to people who are suffering from respiratory ailments in north India. It would be better to go to the root cause, and achieve clean air.

Policymakers have responded to the difficulties of digital payments by giving subsidies to digital payment transactions. It would have been better to go to the root cause and solve the policy mistakes of the field of payments.

Practical men and women see a problem in society, and are readily able to visualize a subsidy that counters the problem. Economic reasoning helps us understand the root cause of the market failure, and use less force by focusing the intervention upon the source of the market failure.

Example 13: The problems of infrastructure financing

Infrastructure financing requires equity financing until the infrastructure asset is generating cash flows, as there is considerable political and contracting risk in the early phase. After the asset starts working, and generating cash flows, there is a role for long-term debt. This requires a bond market. In India, we have errors at the foundations of financial economic policy, and the bond market does not work. This problem needs to be solved at the root cause.

Policymakers have responded to the difficulties of bond market financing for infrastructure projects by giving subsidies to infrastructure bonds. It would have been better to make the bond market work.

Policymakers have tried to create specialized infrastructure financing companies given the failures of the foundations of finance: these included Infrastructure Leasing & Financial Services (IL&FS) (1987), Infrastructure Development Finance Company (IDFC) (1997), India Infrastructure Finance Company Limited (IIFCL) (2006) and now National Investment